# BROCK ISD

## Board Meeting Preparation Report

Regular Meeting | April 13, 2026 | 6:00 PM | BHS Cafeteria

**Deep Analysis of All Agenda Items and Attachments**

Prepared for: Trustee Toby Farmer

166-page board book analyzed | All attachments reviewed

# Executive Summary: Top Issues Tonight

This report analyzes all 166 pages of the April 13, 2026 board book. Below are the critical items requiring your attention, ranked by governance significance.

| Agenda Item | Key Finding | Risk Level |
|---|---|---|
| **Bond Series 2026** | Restructuring (NOT savings). Up to $5M gross cost to hold I&S at $0.50. Debt extends to 2048. $32.2M in hold harmless. | **HIGH** |
| **Budget Workshop** | Flat enrollment (2,042 RADA). HB2 brings $1.18M restricted funds already committed to salary. Taxable value growth slowing (3.96%). | **HIGH** |
| **Balanced Scorecard** | MOY follow-up to March 9. BHS Algebra I Predicted Growth dropped 81→62 vs 85 annual goal (biggest pacing miss). BJH 8th grade hit 90 Reading goal at MOY (bright spot). 6th math below goal. | **MEDIUM** |
| **Bus Purchase** | $325K for 2 buses; $205K TERP grant offsets. Net cost $119K. Tariff risk flagged by vendor. Quote expires 5/1/26. | **LOW** |
| **Teacher Contracts** | 3 probationary teachers (alt cert) recommended. Small batch; held from March to allow certification completion. | **LOW** |
| **TIA Payouts** | Board approval to enter TIA program. 1 designated teacher. District is pass-through only (90/10 split). | **LOW** |
| **Fund 491 Amendment** | $15K increase to HS food service. Revenue increase expected to offset. Board Amendment 04. | **LOW** |

# Item K: Closed Session (TGC 551.071-551.087)

## What Is Happening

The agenda posts closed session under a BLANKET citation: 'Pursuant to Texas Government Code, Sections 551.071 through 551.087.' This covers ALL closed session exceptions in TOMA, including:

**TGC 551.071 -** Consultation with Attorney: Legal advice on pending or contemplated litigation, settlement offers, or matters where the attorney's duty is affected.

**TGC 551.072 -** Real Property: Deliberation regarding purchase, exchange, lease, or value of real property where open discussion would harm the district's bargaining position.

**TGC 551.074 -** Personnel Matters: Deliberation regarding appointment, employment, evaluation, reassignment, duties, discipline, or dismissal of a public officer or employee. NOTE: An employee may request this be held in open session.

**TGC 551.076 -** Security: Deliberation regarding deployment or implementation of security personnel or devices.

**TGC 551.082 -** School Discipline: Deliberation regarding discipline of a public school child, or a complaint or charge against a school district employee. NOTE: A parent/guardian may request this be open in writing.

**TGC 551.0821 -** Personally Identifiable Student Information: Deliberation regarding information about a student that is confidential under federal law.

**TGC 551.083 -** Prospective Gifts/Donations: Deliberation regarding a prospective gift or donation to the district.

**TGC 551.087 -** Economic Development: Deliberation regarding economic development negotiations.

## What the Law Says

Under TOMA (TGC Chapter 551), a governmental body may conduct closed session ONLY under the specific exceptions listed in the statute. Key procedural requirements:

**Before Entering:** The presiding officer must publicly announce, on the record, the specific section(s) of TGC Chapter 551 that authorize the closed session. A blanket citation on the agenda is acceptable for posting purposes, but the board president should state which specific sections apply when convening closed session (TGC 551.101).

**During Closed Session:** A certified agenda and audio recording must be maintained (TGC 551.103). The recording must be preserved for at least 2 years. Only topics within the posted exceptions may be discussed.

**No Action in Closed Session:** The board may NOT vote or take final action in closed session. All votes must occur after reconvening in open session (TGC 551.102).

**Agenda Posting Compliance:** This agenda was posted April 7, 2026 at 3:00 PM - more than 72 hours before the April 13 meeting at 6:00 PM, satisfying the TOMA 72-hour posting requirement (TGC 551.043).

**WATCH:** The blanket citation (551.071-551.087) gives the board maximum flexibility but also means almost ANY topic could potentially be discussed in closed session. As a governance practice, the board president should specify which exceptions actually apply before entering. Watch for this.

**RED FLAG:** Important: TGC 551.074 (personnel) does NOT authorize discussing general employment policy, salary schedules, or working conditions. It covers SPECIFIC individuals by name/position only. If the discussion veers into general policy, it should be in open session.

## Governance Questions

1. *Will the board president state the SPECIFIC TGC sections (not just the blanket range) before entering closed session?*
2. *Is the certified agenda and audio recording being maintained as required by TGC 551.103?*
3. *Which specific exceptions are anticipated tonight? Personnel (551.074) related to the teacher contracts? Real property (551.072)? Litigation (551.071)?*
4. *If the closed session involves personnel evaluations, have the affected employees been notified of their right to request a public hearing under TGC 551.074(b)?*

# Item 4: Consent Agenda

## 4A: March 9, 2026 Minutes (pp. 3-7)

### Analysis

Standard minutes from the March 9 regular meeting. Review for accuracy of motions, vote tallies, and attendance records. Minutes should reflect all action items taken and any items pulled for separate discussion.

5. *Were all motions and vote records accurately captured?*
6. *Were any items discussed in March that require follow-up tonight?*

## 4B: Check Register (pp. 8-29)

### Key Data from Attachment

**Grand Total:** $1,040,621.17 across all funds

This is a 21-page check register covering expenditures across the district. Key categories and notable payments to watch:

| Category | Vendor Examples | Note |
|---|---|---|
| **Payroll & Benefits** | TRS, AFLAC, United Healthcare | Largest category |
| **Construction/Facilities** | Reeder Construction | Bond fund draws |
| **Utilities & Operations** | Various vendors | Routine |
| **Instructional Materials** | Curriculum vendors | Spot-check for alignment |

7. *Are there any unusually large single-vendor payments that warrant explanation?*
8. *What is the current Reeder Construction draw against the 2023 bond fund ($13.03M of $24.8M expended as of the financial report)?*

## 4C: Revenue & Expenditure Reports (pp. 30-31)

### Key Data from Attachment

Revenue to Budget (p. 30):

| Fund | Budget | Realized to Date | % Realized |
|---|---|---|---|
| **199/6 General Fund** | $24,539,083 | $17,581,495 | 71.65% |
| **240/6 Natl Breakfast/Lunch** | $687,623 | $452,222 | 65.77% |
| **513/6 Debt Service** | $7,250,000 | $8,679,823 | **119.72%** |
| **693/6 2023 Bond Fund** | $463,398 | $598,478 | 129.15% |

Expenditures to Budget (p. 31):

| Fund | Budget | Expended + Encumb. | % Expended |
|---|---|---|---|
| **199/6 General Fund** | $24,539,083 | $16,627,979 | 65.83% (+ encumb) |

| | | | |
|---|---|---|---|
| **240/6 Natl Breakfast/Lunch** | $722,623 | $570,997 | 76.55% |
| **513/6 Debt Service** | $8,522,500 | $8,515,594 | **99.92%** |
| **693/6 2023 Bond Fund** | $24,803,598 | $13,034,426 | 52.55% |

**WATCH:** General Fund revenue at 71.65% realized with ~58% of the fiscal year elapsed (through March) looks healthy. Property tax collections are seasonal - most are received Oct-Jan. The remaining ~$7M in unrealized revenue will come primarily from state funding in the spring.

**POSITIVE:** Debt Service revenue at 119.72% - the district has OVER-COLLECTED relative to budget ($8.68M collected vs. $7.25M budgeted). This suggests strong tax collections on the I&S side. However, expenditures are at 99.92% ($8.52M of $8.52M budget spent). The net current-year position in the Debt Service fund is roughly $164K positive ($8,679,823 revenue minus $8,515,594 expenditure).

**RED FLAG:** Debt Service at 99.92% expended means nearly all budgeted bond payments have been made for the year. Combined with the Samco estimate of $389,750 I&S Fund Balance for 2025/26, the debt service fund has minimal reserves heading into the refunding discussion. Note: the General Fund balance (Fund 199) is a separate fund - Samco shows it at $3,578,766 (17% of expenditures) for 2024/25. No 2025/26 General Fund estimate is provided.

9. *With Debt Service at 99.92% expended, what is the current I&S fund balance? The Samco report shows $794,653 for 2024/25 - is that still accurate?*
10. *General Fund expenditures at 67.7% including encumbrances - are we tracking to end the year within budget?*
11. *What is the projected General Fund balance at year-end? The Samco report shows the 2024/25 General Fund at $3.58M (17% of expenditures) but does not provide a 2025/26 estimate. Meanwhile, the I&S Fund Balance is estimated at just $389,750.*

## 4D: Region 11 Interlocal Agreement (pp. 32-34)

### Analysis

Standard interlocal agreement with Region 11 Education Service Center for continued cooperative services. Authorized under Texas Government Code Chapter 791 (Interlocal Cooperation Act).

**TGC 791.011 (Authority):** Allows local governments, including school districts, to contract with other local governments for any governmental function or service each party is authorized to perform. Region 11 ESC is specifically created under TEC Chapter 8 to provide these cooperative services.

**TGC 791.011(d) (Payment Requirements):** Payments under the contract must fairly compensate the performing party and must be made from current revenues available to the paying party. The agreement cannot create debt within the meaning of the Texas Constitution.

**TGC 791.011(e) (Governing Body Approval):** The agreement must be authorized by the governing body of each party - meaning this requires an affirmative board vote, even as a consent item.

**TGC 791.025 (Contract Requirements):** The contract must state the purpose, terms, rights, and duties of each party and specify the duration. It must also identify the source of funding.

**POSITIVE:** Routine renewal. Region 11 provides critical shared services including professional development, purchasing cooperatives, special education support, and technology services that small districts like Brock cannot efficiently provide independently. This is a standard governance action - verify the contract terms match the services Brock actually uses.

## 4E: Multipurpose Student Center Update (pp. 35-46)

### Analysis

Photo documentation of the Reeder Construction multipurpose student center project funded by the 2023 bond. The photos show construction progress across 12 pages of documentation.

**Budget Context:** The 2023 Bond Fund shows $13.03M of $24.8M expended (52.55%). This is the primary draw on the bond fund.

**Insurance Impact:** Budget Workshop slides note a $61K increase in property insurance for this new building, effective when it comes online.

12. *What is the current projected completion date and is it on schedule?*
13. *Are there any change orders or cost overruns beyond the original contract?*
14. *When does the $61K additional property insurance kick in?*

# Item 5: Budget Workshop #1 (pp. 47-68)

**Presented by:** Lance Rainey, CFO

**Type:** Discussion Item - No vote required (Workshop 1 of 3)

**Budget Timeline:** April = Intro/Overview | May = Compensation Direction | June = Budget Adoption | Aug/Sept = Tax Rate Adoption

**Guiding Principles (p.49):** Efficient staffing ratios, conservative budgeting, innovative revenue streams, fiscal transparency, culture of fiscal efficiency

## Enrollment Trend: The Story in the Numbers (p. 51)

This is the most important slide in the entire presentation. The growth era at Brock ISD is over.

| Year | RADA | Change | Enrollment | Change | Signal |
|---|---|---|---|---|---|
| 2019-2020 | 1,513 | +89 | 1,602 | +92 | Growth |
| 2020-2021 | 1,677 | +164 | 1,759 | +157 | Strong Growth |
| 2021-2022 | 1,914 | **+237** | 2,002 | **+243** | **PEAK GROWTH** |
| 2022-2023 | 1,972 | +58 | 2,080 | +78 | Deceleration |
| 2023-2024 | 2,046 | +74 | 2,171 | +91 | Slowing |
| 2024-2025 | 2,043 | **-13** | 2,191 | +13 | **RADA Decline** |
| 2025-2026 | **2,042** | **-1** | **2,188** | **-3** | **FLAT / DECLINE** |

**RED FLAG:** RADA has now declined for TWO consecutive years (-13, then -1). Enrollment is down -3 this year. The district went from adding 237 RADA in 2021-22 to losing students. Since M&O funding is driven by ADA, this directly reduces state revenue. The 2023 bond and new multipurpose center were built for a growth trajectory that has stalled.

**WATCH:** Key nuance: RADA declined -13 in 2024-25 while enrollment was +13, suggesting attendance rate dropped. This could be a warning sign about student engagement or a data artifact worth understanding.

## 2026-2027 Budget Assumptions (p. 54)

| Assumption | Value / Note |
|---|---|
| **Attendance Rate** | 95% district-wide |
| **Tax Collection Rate** | 98% |
| **Taxable Values** | Based on PCAD estimates (NOT YET RELEASED - coming end of April) |
| **Student Growth** | **ZERO new growth assumed. Uses current 2,188 enrollment.** |
| **Student Weights** | All current weights carried forward (Special Ed, Comp Ed, etc.) |
| **Current M&O Rate** | $0.7426 |

| | |
|---|---|
| **Current I&S Rate** | $0.5000 |
| **Current Total Rate** | $1.2426 |

**WATCH:** PCAD certified estimates are not available yet (released end of April). This entire budget is built on preliminary numbers. The board will not have real taxable value data until Workshop #2 in May. This is a significant unknown.

## HB2 / SB4 / SB23 Funding Impact (pp. 62-63)

### Restricted Funds - Committed to Salary Increases

| Allotment (Restricted) | Estimate | Status |
|---|---|---|
| **Teacher Retention Allotment (TRA)*** | $1,100,000 | **COMMITTED** |
| **Support Staff Retention Allotment (SSRA)*** | $80,000 | **COMMITTED** |
| **TOTAL RESTRICTED** | **$1,180,000** | **Must go to salary** |

* Slide explicitly states: 'TRA/SSRA - Committed to HB2 Salary Increase' (Source: TEA SOF Release #7-HB2-02_16_26)

### Additional Allotment Changes (Unrestricted)

| Allotment Increases | Estimate | Type |
|---|---|---|
| Special Education Allotment | **$430,000** | 55% restricted |
| CTE Allotment | $381,000 | 55% restricted |
| Basic Cost Allotment | $232,000 | Unrestricted |
| Small/Mid-Size Allotment | $166,000 | Unrestricted |
| Safety & Security Allotment | $100,000 | Unrestricted |
| Dyslexia Allotment | $10,000 | 100% restricted |
| Compensatory Education | $10,000 | 55% restricted |
| **SUBTOTAL INCREASES** | **$1,329,000** | |

| Allotment Decreases | Estimate | Impact |
|---|---|---|
| Regular Program Allotment | ($210,000) | Revenue loss |
| Fast Growth Allotment | ($72,000) | No longer growing |
| **SUBTOTAL DECREASES** | **($282,000)** | |

**NET NEW ALLOTMENT REVENUE:** $1,329,000 - $282,000 = $1,047,000 (unrestricted portion) PLUS $1,180,000 restricted = approximately $2.2M total new state revenue

**RED FLAG:** The $72K loss of Fast Growth Allotment confirms the state recognizes Brock is no longer a fast-growth district. This is the funding consequence of flat enrollment.

**RED FLAG:** The $1.18M in restricted salary funds is ALREADY COMMITTED. The slide explicitly says so. If HB2 changes or sunsets in the next legislative session, the district will have structural salary obligations without the revenue to cover them.

## State Allotment Spending Requirements (p. 58)

The presentation lists spending requirements that constrain how allotment dollars can be used:

**100% Restricted:** Dyslexia, Early Education, Gifted & Talented - every dollar must be spent in that program

**55% Restricted:** Special Education, Compensatory Ed, Bilingual Ed, CTE, CCMR Bonus - at least 55% must go to the program

**Governance implication:** The board should understand these restrictions before approving a budget. Not all 'new revenue' is discretionary.

## Budget Increases & Decreases (p. 60)

### Known Budget Increases for 2026-2027

**1. Compensation:** Salary increases funded by HB2 + TASB salary study recommendations (amount TBD - TASB study not yet complete)

**2. Property Insurance:** +$61,000 for the new Multipurpose Student Center

**3. Parker County Appraisal District:** Increased assessment (amount not specified)

**4. Inflationary Fixed Costs:** Labeled 'Other Unknown Increases in Current Fixed Costs' - amount TBD

**5. Capital Outlay Needs:** Expenditure Projection Plan (EPP) underway

**6. Recapture Payment:** Amount not specified - this is the Robin Hood payment to the state

### Known Budget Decrease

**Parker County Special Ed Co-Op:** Restructure of expenditure methodology saves $150,000

**WATCH:** Multiple line items say 'amount TBD' or 'unknown.' The CFO is being transparent that there are significant unknowns. Recapture is particularly important - as taxable values grow, recapture can consume a large portion of local revenue. Ask for a recapture estimate.

**RED FLAG:** The presentation mentions recapture payment as a budget increase but provides NO estimate. For a district with $1.409B in taxable value, recapture could be substantial. This is a critical number for the board to understand.

## CTE Revenue: The Bright Spot (p. 64)

Career & Technology Education revenue has been the district's biggest revenue growth story over the past decade:

| Year | FTEs | FTE Change | Revenue | Net Change |
|---|---|---|---|---|
| 2016-2017 | 137.1 | -- | $962,599 | -- |

| | | | | |
|---|---|---|---|---|
| 2018-2019 | 131.3 | -13.5 | $945,647 | ($105,673) |
| 2021-2022 | 158.9 | +23.3 | $1,411,854 | $284,030 |
| 2023-2024 | 267.1 | **+77.8** | $2,361,264 | **$667,520** |
| 2024-2025 | 277.9 | +10.8 | $2,559,016 | $197,752 |
| **2025-2026*** | **322.8** | **+44.8** | **$2,940,000*** | **$380,984** |

* Estimate based on 4th Six Weeks PEIMS/SOF Release 7 - HB2

**POSITIVE:** CTE is the standout revenue growth engine. Revenue has tripled from $963K to $2.94M in 10 years. FTEs more than doubled from 137 to 323. With HB2 adding another $381K in CTE allotment, this program is generating real dollars.

**WATCH:** CTE FTE growth is decelerating (from +77.8 to +44.8 to +10.8 in prior years). With flat enrollment, CTE growth must come from higher participation rates among existing students rather than new students. Ask what the ceiling is.

## Revenue vs. Expenditure Trend (p. 65)

The presentation includes a critical chart showing 7-year revenue and expenditure trends. Key observations from the visual:

**Revenue:** Total revenue has grown from ~$17M (2020-21) to ~$24.5M (projected 2026-27), driven primarily by state program increases and local property tax growth.

**Expenditures:** The expenditure line (red) has tracked close to revenue. In 2023-24, expenditures spiked above revenue, suggesting the district spent from reserves.

**Fund Balance:** The EOY fund balance line appears to have declined in recent years and is projected to continue declining.

**Revenue Mix:** State program funding (green) has grown as a share, while local/intermediate (blue) growth has slowed - consistent with the decelerating property value growth.

**RED FLAG:** The chart suggests expenditures are consistently close to or exceeding revenue. Meanwhile, the Samco historical statistics show the I&S Fund Balance has declined to an estimated $389,750 and the General Fund Balance was $1.57M (7% of expenditures) in 2023/24 before rebounding to $3.58M (17%) in 2024/25. The volatility and thin I&S reserves are the most concerning structural issue in the budget.

## CFO's Own Risk Assessment (p. 66)

Lance Rainey's presentation explicitly identifies three key financial risks. The CFO is telling the board:

**Risk 1 - Enrollment flattening/declining:** 'Funded solely on ADA for M&O.' This means every student lost is direct revenue lost. There is no buffer.

**Risk 2 - Legislative Uncertainty:** HB2 funding could change. The $1.18M restricted allotment is not guaranteed to continue.

**Risk 3 - Increased Fixed Costs:** 'Unavoidable.' Insurance, utilities, maintenance on the new building, PCAD assessment increases - these go up regardless of enrollment.

**RED FLAG:** The CFO is explicitly flagging the same risks this analysis identifies. The question for the board is: what is the plan to mitigate these risks? The presentation identifies the problems but does not present solutions.

**WATCH:** CROSS-REFERENCE TO BOND ISSUE (Item 7): The budget's HB2 risk and the bond refunding's Hold Harmless risk are two sides of the same coin - both depend on state legislative funding that could change. The bond refunding assumes $32.2M in Hold Harmless payments over 22 years. HB2 drives $1.18M annually in restricted allotments already committed to salary. Both HB3 (2019) and HB2 (2023) are legislative constructs, not constitutional entitlements. A single legislative session could alter both funding streams simultaneously. The board should evaluate these risks together, not in isolation. If the 90th Legislature (2027) modifies school finance, the district could face BOTH a bond debt service gap AND an operating budget hole at the same time.

## What's Missing from Workshop #1

As a first workshop, several critical data points are deliberately held for later sessions:

**PCAD Certified Values:** Not yet released (coming end of April). Without these, the revenue side of the budget is estimated.

**TASB Salary Study:** Listed as a budget planning input under Personnel (p. 59). NOTE: TASB completed a salary study for the district last year. It is unclear whether the CFO is referencing that existing study or commissioning a new one. This is an important distinction - last year's data may already be outdated given HB2 changes. Ask for clarification.

**Recapture Estimate:** Mentioned as a budget increase but no dollar figure provided. This could be a seven-figure number.

**Actual Expenditure Detail:** No function-level budget numbers were presented. The budget is adopted at the functional level (p.56 lists 16 function codes) but no proposed allocations were shared.

**Fund Balance Target:** No target fund balance or days-of-operations metric was discussed.

## Governance Questions for Budget Workshop

15. *RADA has declined for two consecutive years. What is the demographic projection for the next 3-5 years? Are Parker County housing starts still supporting growth, or has the development pipeline slowed?*
16. *The PCAD certified estimates arrive end of April. Can we get a preliminary briefing on the direction before Workshop #2? What taxable value is the CFO modeling internally?*
17. *What is the estimated recapture payment for 2026-27? At $1.409B taxable value, this could be significant. Why wasn't an estimate included?*
18. *The TASB salary study was completed and delivered to the district last year. Is the CFO referencing that existing study, or has a new study been commissioned? If it is last year's study, has it been updated to reflect HB2 allotment changes and current market conditions?*
19. *If HB2 restricted allotments ($1.18M) change or sunset, what is the contingency plan? Are we building a structural salary commitment on potentially temporary funding?*

20. *The General Fund balance was $3.58M (17%) in 2024/25 but dropped to $1.57M (7%) in 2023/24 - what is the current trajectory? And the I&S Fund Balance is estimated at just $389,750. What is the board's target fund balance for both funds?*
21. *The 80/10/10 expenditure target (Personnel/Fixed/Discretionary) - where are we currently? With $1.18M in new salary commitments, what percentage will personnel represent?*
22. *CTE revenue has been the growth engine ($963K to $2.94M over 10 years). What programs are driving this, and what is the instructional cost to deliver them? Is the 55% spend requirement being met?*
23. *The Parker County Special Ed Co-Op restructure saves $150K. What changes are involved and is there any risk to service levels for our special education students?*
24. *The revenue/expenditure chart (p.65) shows expenditures tracking very close to revenue. Are we running structural deficits that are masked by one-time revenues or fund balance draws?*
25. *With the new multipurpose building adding $61K in insurance, what are the total ongoing operational costs (utilities, staffing, maintenance) for this facility?*
26. *The Fast Growth Allotment decreased by $72K - TEA no longer classifies Brock as fast-growth. How does this affect our long-term revenue projections?*

# Item 6: Balanced Scorecard - Priority 1 Secondary (pp. 69-86)

**Type:** Discussion Item (no vote required)

## What Is the Balanced Scorecard and Why Interim Testing?

The Balanced Scorecard is Brock ISD's system for tracking whether the district is pacing to its annual strategic goals. The interim assessments exist as an early-warning system: if we only measured student progress at the end of the year via STAAR, a miss on the annual goal would come as a surprise in July - far too late to intervene. By testing BOY (Beginning of Year), MOY (Middle of Year), and EOY (End of Year) against the same topline targets, principals and teachers can course-correct BEFORE STAAR in May.

So the central question the board should ask on every slide tonight is NOT 'is this number good or bad?' but:

**Are we on pace to hit the annual scorecard goal, or do we need to adjust before STAAR?**

This is a FOLLOW-UP presentation. The elementary and intermediate campuses reported their MOY data at the March 9 meeting (their test dates were earlier). Tonight, the secondary campuses (BHS and BJH) present their MOY data - the second interim results that were still being administered in March. Mr. Shaw (BHS) and Mr. Sams (BJH) will walk through what the interim tests revealed and whether each campus is on pace to the annual goals.

Two key types of metrics are being reported: (1) Meets Grade Level percentages - what share of students are proficient on each interim, and (2) Predicted Academic Growth Scores - a Lead4Ward-derived estimate of what the campus's STAAR growth score will be if current trajectories hold. The growth score target adopted by the board is 85 at BHS and 90 at BJH. The MOY predicted growth scores are the best leading indicator available.

## The Annual Scorecard Goals (The Commitments Being Tracked)

These are the 2025-2026 targets the board adopted. Every MOY interim number should be evaluated against these:

| Campus | Growth Score | Reading | Math | Science | Soc. Studies |
|---|---|---|---|---|---|
| **District** | 70 → 90 | 76 → 80% | 62 → 66% | 70 → 74% | 56 → 60% |
| **BHS** | 65 → 85 | 73 → 77% | 50 → 54% | 95 → 98% | 66 → 70% |
| **BJH** | 68 → 90 | 78 → 82% | 59 → 63% | 66 → 70% | 45 → 49% |

Source: pp. 71, 73, 79 of the board book. These are the 2025-26 Annual Goal columns from the Priority 1.1 scorecard pages.

## Brock High School (BHS) - MOY Interim vs Annual Goal

BHS Annual Growth Score goal is 85 (from 65 baseline). Mr. Shaw's BOY results were reported March 9; tonight's April 13 slides add the MOY numbers for the first time for Math, Science, and Social Studies (Reading MOY was partially reported in March).

| BHS Subject | BOY Meets | MOY Meets | Annual Goal | vs Goal | Status |
|---|---|---|---|---|---|
| **Reading (English I/II)** | 73.53% | **85%** | 77% | **+8 pts** | **AHEAD** |
| **Math (Algebra I)** | 66.35% | **55%** | 54% | **+1 pt** | **DECLINING** |
| **Science (Biology)** | 84.17% | **92%** | 98% | **-6 pts** | **TRENDING UP** |
| **Social Studies (US History)** | 14.06% | **56%** | 70% | **-14 pts** | **RECOVERING** |

Source: p. 75 (BOY/MOY Meets %), p. 73 (annual goals). Note: BOY Social Studies at 14% reflects that US History content is heavily back-loaded; MOY at 56% shows content coverage catching up to assessment coverage. This is a normal pattern for US History, not an instructional miracle - the 14% was not a true skills deficit.

### BHS Predicted Academic Growth Scores (vs Annual Goal of 85)

The Predicted Growth Score is the best leading indicator of where the campus STAAR Growth Score will land. Goal is 85.

| BHS Course | BOY Pred. | MOY Pred. | Annual Goal | Pacing Status |
|---|---|---|---|---|
| **English I** | 57 | **82** | 85 | **ON PACE to goal** |
| **English II** | 72 | **72** | 85 | **FLAT - 13 pts below goal** |
| **Algebra I** | 81 | **62** | 85 | **DROPPED 19 pts - 23 below goal** |

**RED FLAG:** THE SINGLE BIGGEST PACING MISS IN THE ENTIRE SCORECARD IS BHS ALGEBRA I. The Predicted Growth Score collapsed 19 points between the first and second interim (81 to 62). Meets dropped 11 points (66% to 55%). Against an annual goal of 85, the MOY prediction of 62 is 23 points below goal. This is the interim-testing system doing exactly what it was designed to do - surfacing a problem while there is still time to intervene before STAAR. The board should demand a specific Algebra I intervention plan tonight.

**POSITIVE:** Reading is running AHEAD of the annual goal at MOY (85% vs 77% target). English I Predicted Growth jumped from 57 to 82 - a remarkable gain that puts it on pace for the 85 annual goal. Whatever the English I team is doing is working.

**WATCH:** English II Predicted Growth flat at 72 against an 85 goal is a quieter warning. Reading Meets may be inflated by strong English I performance masking English II stagnation. Ask for disaggregated English II numbers.

## Brock Junior High (BJH) - MOY Interim vs Annual Goal

BJH Annual Growth Score goal is 90 (from 68 baseline). Mr. Sams presents two complementary assessments: the STAAR-format Interim (Lead4Ward-aligned, best STAAR predictor) and the IXL adaptive skills screener.

### BJH STAAR Interim Meets % (vs Annual Goals)

| Grade/Subject | BOY Meets | MOY Meets | Annual Goal | vs Goal | Status |
|---|---|---|---|---|---|
| **6th Reading** | 64.4% | **76.3%** | 82% | **-5.7** | **TRENDING UP** |
| **7th Reading** | 67.1% | **71.1%** | 82% | **-10.9** | **GRADUAL** |
| **8th Reading** | 76.3% | **83.5%** | 82% | **+1.5** | **HIT GOAL** |
| **6th Math** | 68.4% | **58.8%** | 63% | **-4.2** | **DROPPED BELOW GOAL** |
| **7th Math** | 58.1% | **62.2%** | 63% | **-0.8** | **APPROACHIN G GOAL** |
| **8th Math** | 57.8% | **66.4%** | 63% | **+3.4** | **HIT GOAL** |
| **8th Science** | -- | 56.9% | 70% | **-13.1** | **OFF PACE** |
| **8th Soc. Studies** | -- | **53.2%** | 49% | **+4.2** | **HIT GOAL** |

Source: pp. 82-83 (Interim results) and p. 79 (annual goals). Status evaluates whether MOY performance has already met, approached, or fallen behind the 2025-26 annual goal.

### BJH Predicted Academic Growth Scores (vs Annual Goal of 90)

| Course/Grade | BOY Pred. | MOY Pred. | Goal | Pacing |
|---|---|---|---|---|
| **6th Reading** | 63 | **82** | 90 | **STRONG - +19 pt gain** |
| **7th Reading** | 64 | **71** | 90 | **RISING - still 19 below** |
| **8th Reading** | 75 | **90** | 90 | **HIT ANNUAL GOAL AT MOY** |
| **6th Math** | 71 | **67** | 90 | **DECLINED - 23 below goal** |
| **7th Math** | 61 | **66** | 90 | **RISING - 24 below goal** |
| **8th Math** | 73 | **81** | 90 | **STRONG - 9 below, rising** |

**POSITIVE:** 8th Grade at BJH is the standout cohort. Reading Predicted Growth hit the annual 90 goal AT MOY - two months before STAAR. Reading Meets beat the 82% goal (83.5%). Math Meets beat the 63% goal (66.4%). Math Predicted Growth is 81 and rising toward 90. Whatever the 8th grade team is doing should be studied and replicated in 6th and 7th.

**RED FLAG:** 6th Grade Math is BJH's only metric pacing the WRONG direction. Interim dropped 68.4% to 58.8% (now below the 63% annual goal). Predicted Growth dropped 71 to 67. This is the early-warning system doing its job - with roughly 6 weeks to STAAR, there is still time to intervene, but only if an intervention plan is presented tonight.

## The IXL vs Interim Question - Understanding the Two Instruments

BJH uses two parallel screener systems. At the April meeting they appear to diverge, which is expected, but the board should understand what each measures:

| BJH Reading | IXL BOY | IXL MOY | Interim BOY | Interim MOY |
|---|---|---|---|---|
| **6th Grade** | 70% | 62% | 64.4% | 76.3% |
| **7th Grade** | 74% | 64% | 67.1% | 71.1% |

| | | | | |
|---|---|---|---|---|
| **8th Grade** | 73% | 67% | 76.3% | 83.5% |

**IXL:** Adaptive skill-practice platform. Measures whether a student's working-skill level is at-or-above grade level on the adaptive algorithm. A 'Meets' drop can reflect curriculum moving into harder units, not necessarily a regression. It is a skill-depth signal.

**STAAR Interim (Lead4Ward):** STAAR-format released items scored using Lead4Ward predictive framework. Designed specifically to predict STAAR Meets %. When this rises, STAAR is more likely to rise. This is the instrument that should weight most heavily in the board's pacing judgment.

The Interim results are the primary signal against the annual scorecard goals. The IXL decline is a secondary signal worth watching - it may indicate that students are getting better at STAAR-format questions even while their underlying skills practice performance drops as content gets harder. Ask Mr. Sams to speak to how each tool informs his intervention targeting.

## Follow-Up from March 9 - What Was Pending, What the Data Shows Now

The March 9 presentation committed that secondary campuses would report additional data at the April meeting once later test windows closed. This table tracks what was outstanding then and what was delivered tonight:

| Data Point Outstanding 3/9 | What Was Pending | Delivered Tonight? |
|---|---|---|
| BHS Algebra I MOY | Tested Feb 24/25 | **YES - 55% Meets, Growth 62 (DROPPED)** |
| BHS English I MOY | Tested March 4 | **YES - Growth 82 (strong gain)** |
| BHS Biology MOY | Tested March 24 | **YES - 92% Meets (strong)** |
| BHS US History MOY | Tested March 4 | YES - 56% Meets (content-coverage driven) |
| BJH 6th Reading/Math MOY | Tested Feb 23/24, Mar 9/10 | YES - Reading up, Math down |
| BJH 7th Reading/Math MOY | Tested Mar 30/31, Mar 9/10 | **YES - Both up** |
| BJH 8th Science Interim #2 | Original schedule noted 'pending' | **PARTIAL - only 56.9% reported (no #2 yet)** |
| BJH 8th Social Studies #2 | Scheduled April 1/2 | **PARTIAL - 53.2% reported (is this #1 or #2?)** |

**WATCH:** Clarification needed: the March 9 deck showed BJH 8th Social Studies Interim #1 tested April 1/2 and Interim #2 'blackout' (not scheduled). The April 13 deck shows 8th Social Studies at 53.2% Meets. Confirm whether this is Interim #1 just reported, or a second round. Same question applies to 8th Science.

## The Single Biggest Pacing Miss - BHS Algebra I

If the board walks out tonight with only one follow-up, it should be this. Against an annual Growth Score goal of 85 for BHS, Algebra I Predicted Growth dropped from 81 at BOY to 62 at MOY - a 19-point decline. Meets Grade Level dropped from 66% to 55%. With STAAR roughly six weeks away, the question is whether there is still time to correct the trajectory before the annual goal is a confirmed miss.

**What the interim testing system is designed to do:** Surface exactly this kind of divergence from plan while there is still time to intervene. This is the system working. The question is whether the district will now act on the signal.

**What the board should ask for:** A specific written intervention plan for Algebra I - what changes between now and STAAR in May. Not a general statement of support. A specific plan: what units are being re-taught, what tutoring is being added, which students are being pulled for targeted work, and what leading indicator will tell us in three weeks whether it is working.

**Why it matters beyond this year:** Algebra I pass rates feed the CCMR Outcomes Bonus (listed as a 55% restricted allotment in the budget). Declining Algebra I has direct downstream revenue consequences. More importantly, these are real kids whose high school math trajectory is being set right now.

## Bright Spot to Study and Replicate - BJH 8th Grade

BJH 8th grade is the standout cohort on the board. Against the 90 annual Growth Score goal, 8th Reading Predicted Growth HIT 90 at MOY - two months ahead of STAAR. Reading Meets beat the annual goal (83.5% vs 82%). Math Meets beat the annual goal (66.4% vs 63%). Math Predicted Growth is 81 and climbing toward 90.

The board should ask Mr. Sams to articulate what the 8th grade team is doing differently - and then ask whether those practices can be systematized for 6th and 7th where Math is still pacing below goal. This is what the interim system is supposed to enable: surfacing pockets of excellence and transplanting them where they're needed.

## Budget Connection - Aligning Dollars to the Pacing Signal

The scorecard data should inform how the HB2 restricted allotments are deployed. Two specific questions the board should raise:

**Teacher Retention Allotment ($1.1M):** The HB2 teacher retention money is already committed to salary. Is any portion being differentially weighted toward high-need areas (BHS Algebra I, BJH 6th math)? Or is it being spread uniformly across all teachers?

**TIA Designation (tonight's Item I.1):** TIA rewards $3K-$32K per designated teacher. Does the district have math teachers in the TIA pipeline? The single biggest pacing miss in the scorecard is Algebra I - TIA is a targeted tool to retain the best math teacher the district has.

**CCMR Outcomes Bonus:** A 55% restricted allotment in the budget. Depends on Algebra I pass rates (among other CCMR metrics). A decline in Algebra I this year will reduce this allotment in the next funding cycle. The scorecard data is a leading indicator of a revenue signal.

**CTE ($2.94M / $381K HB2 growth):** CTE success depends on core math competency. If Algebra I is declining, the CTE pipeline is also at risk. Ask whether CTE teachers are being used to reinforce core math concepts in applied contexts.

## Governance Questions for Scorecard

27. *Against the BHS annual Growth Score goal of 85, Algebra I Predicted Growth is 62 at MOY - 23 points below goal and down 19 points since BOY. What specific intervention plan will be*

*executed in the next 6 weeks before STAAR? What is the leading indicator we will see in 3 weeks that tells us it's working?*

28. *BJH 8th grade hit the annual 90 Growth Score goal on Reading AT MOY - two months before STAAR. What specifically is the 8th grade team doing that is not happening in 6th and 7th? Can we codify and systematize those practices?*
29. *BJH 6th grade math dropped from 68.4% to 58.8% - now below the 63% annual goal. Is this a curriculum issue, a staffing issue, or a cohort issue? What intervention is in place RIGHT NOW?*
30. *The IXL and Interim data diverge for BJH reading - IXL down, Interim up. Mr. Sams, which instrument weighs more heavily in your intervention targeting, and why? Which has historically been the better STAAR predictor at BJH?*
31. *BHS Reading Meets is 85% at MOY vs a 77% annual goal - beating goal by 8 points. Is there an opportunity to raise the goal mid-year, or does that undermine the scorecard discipline?*
32. *BHS Science at 92% is strong but 6 points below the 98% annual goal. Is 98% realistic, or did we set a goal that was too aggressive given the starting point?*
33. *BJH 8th Science (56.9%) and Social Studies (53.2%) against goals of 70% and 49% respectively - Social Studies beat goal, Science is 13 points behind. Do we know whether the Science MOY includes an Interim #2, or is this still Interim #1 data?*
34. *The BHS US History jump from 14% BOY to 56% MOY reflects content coverage catching up (US History is back-loaded). Has the district validated that the BOY baseline was meaningful, or should we exclude content-dependent BOY percentages from future scorecard framing?*
35. *If Algebra I does miss the annual Growth Score goal, what is the plan for 2026-27? Does the scorecard process include a root-cause review and adjusted goal/action plan after each annual cycle?*
36. *The board committed annual goals to the community. How will the district communicate mid-year if it becomes clear a campus will miss its annual goal? What is the transparency and accountability protocol?*

# Item 7: Bond Series 2026 Parameter Order (pp. 87-127)

**Presented by:** Brian Grubbs / Samco Capital Markets

**Legal Counsel:** McCall, Parkhurst & Horton L.L.P.

**Type:** ACTION ITEM - Vote Required

## CRITICAL: This Is NOT a Savings Refunding

The board book contains a 29-page parameter order (pp. 87-116) plus the Samco Capital Markets preliminary analysis (pp. 118-127). After analyzing both documents in full, the key finding is:

**THIS IS A DEBT RESTRUCTURING, NOT A SAVINGS REFUNDING.** The Samco analysis shows ZERO debt service savings. The purpose is to hold the I&S tax rate at $0.50 by extending and restructuring existing debt. The district will pay an estimated $32.2 million in hold harmless costs and the total net debt service is $164.4 million.

## How Bond Refunding Works - Plain English Explainer

Think of this like refinancing a mortgage. The district has five outstanding bond series from 2015-2023, all backed by the Texas Permanent School Fund (PSF). Three of them (2015, 2016, 2017) are now 'callable,' meaning the district can pay them off early and replace them with new bonds at potentially different terms.

In a normal refunding, the district would refinance to get a lower interest rate and save money on total debt service - just like refinancing a home mortgage from 5% to 3%. That is NOT what this is.

This is a RESTRUCTURING refunding. The purpose is to rearrange the payment schedule so that annual debt service payments stay level at an amount supportable by a $0.50 I&S tax rate. The district is not saving money - it is spreading payments out differently to manage its tax rate. The total cost actually increases by the $32.2M hold harmless amount.

**Why is this needed?** The district has $190M in total outstanding voted bond debt service. The current debt service schedule has uneven payments, and as some bonds mature (Series 2015 ends in 2035, Series 2016 ends in 2031), the payment schedule becomes lumpy. Without restructuring, the I&S rate would need to fluctuate - potentially above $0.50 in some years.

**What is hold harmless?** When the state calculates school funding, it provides 'hold harmless' payments to districts that compress their tax rates. The $32.2M figure represents what the state pays to offset the revenue the district gives up by keeping the rate at $0.50 instead of letting it rise. This is state money, not local money, but it means the district is depending on a state program that could change.

**What is a parameter order?** Because bond markets move fast, the board cannot approve exact terms. Instead, you set parameters (max interest rate of 6%, final maturity of 2048) and delegate authority to a 'Pricing Officer' (typically the Superintendent or CFO) to execute the sale within those boundaries. You are giving up the right to approve final terms.

## The Outstanding Debt Picture (p. 121)

The Samco analysis includes a complete debt service schedule showing what the district owes across all five bond series through 2048:

| Series | Outstanding | Final Maturity | PSF Backed? |
|---|---|---|---|
| Series 2015 Refunding | $11,788,000 | 2035 | Yes |
| Series 2016 Refunding | $12,611,550 | 2031 | Yes |
| Series 2017 Building | $21,323,663 | 2042 | Yes |
| Series 2020 Building & Ref. | $40,172,900 | 2045 | Yes |
| Series 2023 Building | **$104,214,000** | 2048 | Yes |
| **TOTAL OUTSTANDING** | **$190,110,113** | Through 2048 | All PSF |

The Series 2023 bond ($104.2M) is by far the largest - this funded the multipurpose student center and other facilities. It cannot be refunded until 2032 (8/15/2032 call date). The current refunding only touches the 2015, 2016, and 2017 series.

**WATCH:** Annual debt service is approximately $9.2M per year (running at $9.19-9.20M through 2035). At a $0.50 I&S rate on $1.409B in taxable value, the district generates roughly $7.05M in I&S levy (at 98% collection). The shortfall is covered by hold harmless payments from the state.

## Historical Tax Base & Fund Balance Context (p. 123)

The Samco historical statistics reveal critical context the budget presentation did not include:

**Tax Base Growth History:** Taxable value grew from $197M (2005/06) to $1.409B (2025/26). The 5-year average growth is 11.05% and 10-year average is 10.92%. But current year growth is only 3.96% - significantly below historical averages.

**I&S Fund Balance Decline:** The I&S Fund Balance declined from $1,943,505 (2022/23) to $794,653 (2024/25) and is estimated at just $389,750 for 2025/26 - an 80% decline in three years. This is the fund that pays bond debt.

**General Fund Balance:** The General Fund Balance was $3,578,766 (17% of expenditures) in 2024/25. No estimate is provided for 2025/26. Note: the General Fund showed significant volatility, dropping to $1,570,005 (7%) in 2023/24 before rebounding. The % of expenditures column is for General Fund, not I&S.

**Tax Rate Compression:** Total tax rate was $1.66 in 2005/06 and has compressed to $1.2426 today. M&O has dropped from $1.50 to $0.7426. I&S has held at $0.50 through refunding. This compression limits the district's ability to raise revenue.

**RED FLAG:** The I&S Fund Balance estimate of $389,750 for 2025/26 represents approximately 4% of annual debt service ($9.2M). This is the fund that pays bond obligations. With $9.2M in annual debt service and only $389K in reserve, the district has roughly 15 days of debt service coverage. The General Fund is healthier at $3.58M (17% of expenditures in 2024/25), but the 2025/26 figure is not yet available. The I&S fund's thin position is the immediate financial concern as the board considers more debt restructuring.

### Parameter Order Key Terms (from the legal document)

| Parameter | Value |
|---|---|
| **Maximum True Interest Cost** | 6.00% |
| **Final Maturity** | August 15, 2048 (22 years out) |
| **Delegation Authority** | Expires 1 year from adoption (April 13, 2027) |
| **Bond Counsel** | McCall, Parkhurst & Horton L.L.P. |
| **PSF Guarantee** | Yes - Permanent School Fund backed (Section 19) |
| **SEC Rule 15c2-12** | Full continuing disclosure compliance required (Section 14) |

### Bonds Being Refunded (Schedule I)

| Series | Outstanding Principal | Callable Rate |
|---|---|---|
| UT Refunding Bonds, Series 2015 | $8,770,000 | 4.00% |
| UT Refunding Bonds, Series 2016 | $6,244,201 | 2.91-5.00% |
| UT School Building, Series 2017 | $15,635,000 ($15.06M callable) | 3.00-5.00% |
| UT Building & Refunding, Series 2020 | Available but not in this scenario | Call date 8/15/2029 |
| UT School Building, Series 2023 | Available but not in this scenario | Call date 8/15/2032 |

### Samco Refunding Analysis - The Numbers (p. 125)

**Scenario:** FY 2026/27 'Current' refunding of callable portions of Series 2015, 2016, and 2017

**Assumes:** Taxable value of $1.45B for 2026/27, then +$50M/year growth

**Outstanding Debt Service (pre-refunding):** $198,704,706

**Net Debt Service (post-refunding):** $164,433,389

**Total Estimated Hold Harmless:** $32,242,555

**Debt Service Savings:** ZERO (column is blank in the analysis)

**Estimated I&S Rate Post-Refunding:** Drops from $0.50 to ~$0.47 range over time

**I&S Fund Balance Usage:** $1.12M drawn down in year 1, then $404K and $353K in years 2-3

**RED FLAG:** The hold harmless amount of $32.2M is massive. This represents the cumulative cost of keeping the I&S rate at $0.50 while extending debt. The district is essentially paying a premium to manage the tax rate.

**WATCH:** The Samco analysis assumes $50M/year in taxable value growth, but the historical data shows growth has decelerated to 3.96% ($53.7M on a $1.36B base). If growth slows further, the rate reduction assumptions break down.

**WATCH:** Schedule of Events (p. 127) shows this exact same process was done last year in May. Why is the district doing annual refunding authorizations? This suggests an ongoing structural mismatch between debt service costs and the I&S rate.

## Legal Framework

**Primary Authority - TEC 45.004:** Specifically authorizes school districts to issue refunding bonds. Refunding bonds must be submitted to the Texas Attorney General for examination. The board may sell at public or private sale.

**General Authority - TGC Chapter 1207:** Provides the statewide framework for refunding bonds across all public entities. Key provisions: refunding bonds do NOT require a voter election, and maturity cannot exceed 40 years from issuance.

**TGC Chapter 1371:** Provides additional authority for public improvement obligations. This chapter is self-sufficient authority that overrides conflicting provisions in other law.

**Parameter/Delegation Order:** Allows the board to delegate pricing authority to a 'Pricing Officer' (typically Superintendent or CFO) within defined parameters. This is standard practice under TGC 1371, but means the board will NOT see final pricing terms before execution. The Pricing Officer acts within the parameters set tonight.

**PSF Guarantee - TEC 45.051-45.063:** Subchapter C of TEC Chapter 45 governs the Permanent School Fund Bond Guarantee Program. The order's Section 19 invokes this under Article VII, Section 5 of the Texas Constitution. PSF backing provides AAA-level credit rating, resulting in lower interest rates. The district must comply with all PSF requirements including timely debt service payments - default allows the Comptroller to withhold state funds (TEC 45.061).

**Attorney General Review:** Required for all refunding bonds. The AG must approve the bonds before they are valid and binding obligations.

**Continuing Disclosure - SEC Rule 15c2-12:** Section 14 of the parameter order requires the district to provide annual financial reports to the MSRB within 6 months of fiscal year end, plus event notices within 10 business days of triggering events (rating changes, defaults, etc.). Non-compliance is a securities law violation.

**WATCH:** Agenda Note: The agenda item titles this as 'Series 2016 and Series 2017 Bond Refunding/Restructure,' but Schedule I of the parameter order ALSO includes Series 2015 as an available refunded obligation, and the Samco analysis models all three series (2015, 2016, 2017). Clarify whether Series 2015 is included or excluded from this action.

## DEEP DIVE: The Real Financial Story

After analyzing every number in the Samco packet and cross-referencing with the budget workshop data, here is what this refunding actually means for Brock ISD taxpayers and students:

### 1. The I&S Fund Balance Is Collapsing

The historical statistics on page 123 tell a story the cover sheet does not:

| Year | I&S Fund Balance | Change | % of Debt Service |
|---|---|---|---|
| 2022/23 | $1,943,505 | -- | ~21% |
| 2023/24 | $1,692,137 | -$251K | ~18% |
| 2024/25 | $794,653 | **-$897K** | ~9% |
| 2025/26 (est.) | **$389,750** | **-$405K** | ~4% |

That is an 80% decline in three years. The I&S fund went from $1.94M to $389K. And the refunding plan (column 11, page 125) calls for drawing ANOTHER $2.03M from this balance over the next four years: $1.12M in year one, $405K in year two, $354K in year three, and $147K in year four. After that, the I&S fund balance is effectively zero.

**RED FLAG:** The I&S fund is being used as a bridge to smooth the transition. But once it is depleted, the district has zero cushion for a bad tax collection year, an unexpected decline in taxable values, or a legislative change to Hold Harmless. A single 2% shortfall in tax collections would create a $140K gap with no reserve to absorb it.

### 2. The $32.2M Hold Harmless Dependency

The refunding analysis (page 125, column 10) reveals the district's real funding source for debt service is not just local taxes - it is a combination of local I&S levy plus state Hold Harmless payments. Here is the annual Hold Harmless assumption:

| Year | Hold Harmless | Net Debt Service | HH as % of Net DS |
|---|---|---|---|
| 2026 | $759,943 | $6,711,129 | 11.3% |
| 2027 | $1,817,612 | $6,978,979 | 26.0% |
| 2028-2032 | ~$1.5M/year | ~$7.5M/year | ~20% |
| 2033-2042 | ~$1.5M/year | ~$7.7M/year | ~19% |
| **TOTAL** | **$32,242,555** | **$164,433,389** | **19.6%** |

One-fifth of the district's projected debt service depends on state Hold Harmless payments continuing at current levels for the next 22 years. Hold Harmless is a legislative construct - it was created by HB3 in 2019 and modified by HB2. There is no constitutional guarantee. If the Legislature reduces or restructures Hold Harmless in any future session, the district faces a $1.5-1.8M annual gap it cannot close without exceeding the $0.50 I&S rate ceiling or cutting elsewhere.

### 3. The Taxable Value Growth Bet

The Samco model (page 125, column 13) assumes taxable values will grow modestly and then flatten:

**2026/27:** $1.409B (actual current year)

**2027/28:** $1.450B (projected - roughly $50M growth)

**2028-2031:** +$50M/year, reaching $1.650B

**2032-2048:** FLAT at $1.650B for 17 years

This is actually a conservative assumption - Samco is NOT assuming runaway growth. But compare the model to reality:

| Year | Taxable Value Growth | % Growth | Trend |
|---|---|---|---|
| 2021/22 | +$160.2M | 19.05% | Boom |
| 2022/23 | +$79.7M | 7.96% | Slowing |
| 2023/24 | +$196.7M | 18.19% | Rebound |

| | | | |
|---|---|---|---|
| 2024/25 | +$77.9M | 6.10% | Slowing |
| 2025/26 | +$53.7M | **3.96%** | Deceleration |

Growth has decelerated from 18% to 4% in two years. The Samco model needs $50M/year, but current trajectory is only $53.7M - barely meeting the threshold. If Parker County experiences flat or declining property values (not uncommon in Texas given reappraisal cycles), the entire rate projection breaks down.

**WATCH:** Critical date: April 24, 2026 - per the Samco schedule of events (p. 127), the district receives the preliminary 2026/27 certified value from PCAD on this date. That number will determine whether the model holds. Ask whether the board will see this data BEFORE the Pricing Officer executes.

### 4. The Maximum Loss Cap and Capital Appreciation Bond Risk

The parameter order (Section 3, page 90) sets four guardrails:

**(i)** New bond principal cannot exceed the principal being refunded

**(ii)** Maximum aggregate gross loss: $5,000,000

**(iii)** Maximum true interest cost: 6.00%

**(iv)** Maximum final maturity: August 15, 2048

The $5M gross loss cap means the district is acknowledging upfront that this refunding will COST money, not save it. A gross loss means the total payments under the new bonds will exceed total payments under the old bonds by up to $5M. This is the price of tax rate management.

**WATCH:** The parameter order (Section 3(c), page 91) also authorizes Capital Appreciation Bonds (CABs). CABs pay zero interest during the bond life and instead compound interest to maturity. They are sometimes called 'payday loans for governments' because the total cost can be dramatically higher than current interest bonds. While there is no indication Samco plans to use CABs, the authorization exists. Ask whether CABs are contemplated and, if so, what the total compounded cost would be.

### 5. The Structural Question: Why Annual Refundings?

The cover sheet (page 87) says: 'This is the same action we took last year in May in the event we may need to refund/restructure our bond payments. Last year's Order expires at the end of April, so we are simply renewing this one-year order.'

This tells you something important: the district has been in a cycle of annual parameter order authorizations. Each year, the board passes a parameter order 'in case' a refunding is needed. The fact that this keeps happening annually suggests the debt structure is not stable - it requires ongoing active management to keep the I&S rate at $0.50.

A healthy debt structure does not require annual refunding authorizations. This annual cycle should prompt the board to ask for a multi-year debt management strategy, not just another one-year authorization.

### 6. Legislative Risk: HB2 and Hold Harmless Are Connected

The budget workshop (Item 6) and this bond refunding share a common vulnerability: dependence on state legislative funding. They should be evaluated together:

**Bond side:** The refunding depends on $32.2M in Hold Harmless payments over 22 years. Hold Harmless was created by HB3 (2019) and modified by HB2 (2023). It is a statutory mechanism, not a constitutional guarantee.

**Budget side:** The operating budget depends on $1.18M annually in restricted HB2 allotments (Teacher Retention $1.1M + CTE $381K), already committed to salary increases.

**Combined exposure:** If the 90th Texas Legislature (2027) restructures school finance - as happened in 2019 (HB3) and 2023 (HB2) - the district could face a bond debt service gap AND an operating budget hole simultaneously. The bond gap could be $1.5-1.8M/year. The budget gap would be $1.18M/year. Combined, that is a $2.7-3.0M annual shortfall with no immediate lever to close it, since both the M&O and I&S tax rates are already at their practical ceilings.

**RED FLAG:** This is the single biggest structural risk facing Brock ISD: dual dependence on state legislative funding for BOTH debt service (Hold Harmless) and operating salary commitments (HB2 allotments). The board should request a combined stress test showing what happens if state funding is reduced by 25% across both programs.

## Governance Questions for Bond Refunding

37. *The debt service savings column is blank. Can Samco confirm there are ZERO net savings from this refunding? What exactly is the financial benefit to the district?*
38. *The hold harmless cost is $32.2M over the bond life. What happens to the district if the Legislature modifies Hold Harmless? Has Samco modeled a scenario where Hold Harmless is reduced by 25% or 50%?*
39. *The I&S fund balance has dropped 80% in 3 years ($1.94M to $389K) and the refunding draws another $2M from it. What is the minimum safe I&S fund balance, and when do we hit it?*
40. *PCAD certified values arrive April 24. Will the board see this number before the Pricing Officer executes the refunding? If values come in below $1.45B, does the model still work?*
41. *Taxable value growth has decelerated from 18% to 4% in two years. What happens to the I&S rate if growth goes to 0% or negative?*
42. *This is the same authorization done last May. Why are we in a cycle of annual refunding parameter orders? Can Samco present a 5-year debt management strategy instead of year-by-year authorizations?*
43. *The parameter order authorizes Capital Appreciation Bonds (Section 3(c)). Are CABs contemplated for this refunding? What would the total compounded cost be?*
44. *The parameter order allows up to 6% true interest cost. What is the current market rate and what rate does Samco expect to achieve? How much would a 1% increase above expectations cost the district?*
45. *The I&S Fund Balance is estimated at $389K and the General Fund was $3.58M in 2024/25 (no 2025/26 estimate provided). What is the current General Fund projection, and does the district have adequate COMBINED reserves across both funds?*

46. *The delegation authority expires in 1 year. If market conditions are unfavorable, can the Pricing Officer simply choose not to execute? Is there a downside to passing this order and then not using it?*

# Item 8: Teacher Contracts 2026-2027 (pp. 128-130)

**From:** Dr. Shannon Luis, Superintendent

**Prior Discussion:** March 9, 2026

**Type:** ACTION ITEM - Vote Required

## What Is Happening

The board is asked to approve contracts for 3 teachers on probationary status who were in alternative certification programs. Their contracts were held from the March meeting to allow them time to complete certification requirements. All three have now completed their requirements.

### Teachers Recommended

| Name | Campus | Contract Type | Status |
|---|---|---|---|
| Box, Kennedy Grace-Ann | BHS | Teacher | Probation w/ Addendum |
| May, Kathleen Ann | BHS | Teacher | Probation w/ Addendum |
| Potts, Kendall Paige | BJH | Dual | Probation w/ Addendum |

**Signed by:** Eric Sams (BHS Principal, 3/31/26) and JH Principal (4/1/26)

## Legal Framework

**TEC 21.102 - Probationary Contracts:** Authorizes probationary contracts for teachers in their first consecutive years of employment in a district. Maximum 1-year term, renewable for up to 2 additional years (3 years total). Teachers with 5+ years of experience in the prior 8 years may serve only 1 year of probation. After successful probationary period, the district MUST offer a continuing or term contract per district policy.

**TEC 21.103 - Probationary Contract Termination:** The board may terminate probationary employment at the end of the contract period if the board determines it is in the best interest of the district. Notice must be delivered not later than the 10th day before the last day of instruction - by hand delivery on campus or by certified mail.

**TEC 21.206 - CRITICAL DEADLINE:** Not later than the 10th day before the last day of instruction, the board must notify EACH teacher whose contract is about to expire whether the board proposes to renew or not renew. FAILURE TO GIVE NOTICE = AUTOMATIC RENEWAL. This means if the board misses the deadline, these teachers are automatically employed for the following year.

**TEC 21.003 - Certification:** All teachers must hold appropriate certification. Alternative certification is a valid pathway - it produces the same standard teaching certificate as traditional programs. The memo states these teachers have completed their alt-cert requirements.

**Contract Addendum:** The 'Probation with Contract Addendum' designation likely contains specific milestones tied to certification completion, mentoring requirements, and/or performance benchmarks. The addendum modifies the standard contract during the probationary period.

**WATCH:** Timeline check: If Brock's last day of instruction is late May/early June, the 10th day before deadline would be approximately mid-May. The board is acting in April, which is well within the statutory window. However, these three teachers were HELD from March specifically to allow certification completion. The board should confirm all three have fully completed requirements before voting.

## Governance Questions

47. *What subjects/positions do these three teachers fill? Given the Algebra I and 6th grade math declines in the scorecard, are any of them math teachers?*
48. *What does the 'Contract Addendum' specifically require? What performance benchmarks or certification milestones are included?*
49. *Have all three teachers fully completed their alternative certification program requirements AND passed their certification exams, or are any still in progress?*
50. *Is the district having difficulty recruiting fully certified teachers, resulting in more alt-cert hires? What percentage of Brock ISD teachers are on alternative certification routes?*
51. *After this approval, how many total probationary teachers does the district have? What is the retention rate for teachers completing probation at Brock?*

# Item 9: Teacher Incentive Allotment (TIA) Payouts (p. 131)

**From:** Dr. Shannon Luis, Superintendent

**Prior Discussion:** None (first presentation)

**Type:** Consent Agenda Action Item - Vote Required

## What Is Happening

The board is asked to approve Brock ISD entering the Teacher Incentive Allotment (TIA) program under TEC 21.3521. Currently, ONE teacher transferred to Brock from another district that already has a TIA designation. The board must authorize the district to participate so it can receive and pass through the TIA allotment for this teacher.

### TIA Payout Structure

**Teacher Share:** 90% of TIA allotment goes directly to the designated teacher

**District Share:** 10% for system training, support, expansion, admin, and professional development

**Fiscal Impact:** Pass-through only. TEA sends funds to district; district pays teacher. No net cost to district.

**If Teacher Resigns/Retires:** District will forward payment as soon as practicable

## Legal Framework

**TEC 21.3521 - Teacher Incentive Allotment:** Establishes the Local Optional Teacher Designation System. Districts may designate teachers as Recognized, Exemplary, or Master based on student performance data and observation/appraisal data. TEA verifies designations and issues allotments. Districts MUST spend at least 90% of allotment on teacher compensation at the campus where the teacher works.

**Designation Tiers and Funding (current TEA rates):** Recognized: $3,000-$9,000 per teacher | Exemplary: $6,000-$18,000 per teacher | Master: $12,000-$32,000 per teacher. Amounts vary by campus need level (rural/high-need campuses receive higher amounts).

**Board Role:** The board must formally approve: (1) the district's participation in TIA, (2) the local payout policy (90/10 split as presented), and (3) the commitment to pay designated teachers. For transferred designations, the receiving district must honor the designation until it expires.

**Agenda Placement Note:** The board memo cover sheet labels this a 'Consent Agenda Action Item,' but the actual agenda places it under Business Action (J.3). Regardless of placement, this requires a board vote.

## Governance Questions

52. *This is a first-time discussion with no prior board conversation. The cover sheet says 'Prior Discussion Date: None.' Should this be pulled from any consent grouping for fuller discussion, given it commits the district to a new state program?*
53. *What designation level does this teacher hold (Recognized, Exemplary, or Master)? That determines the funding amount ($3K-$32K range).*

54. *Is Brock ISD planning to build its OWN TIA designation system (which requires a comprehensive local teacher evaluation framework, student performance data linkage, and TEA approval), or are we only accepting transferred designations from other districts?*
55. *Once the board approves entry into TIA, can the district withdraw? What ongoing TEA reporting and compliance obligations does this create?*
56. *Does the 90/10 split require board policy adoption, or is this just an administrative decision? What specifically will the 10% district portion fund?*

# Item 10: Fund 491 Student Nutrition Budget Amendment (pp. 132-136)

**From:** Lance Rainey, CFO (requested by Heather Morris, Child Nutrition Director)

**Type:** ACTION ITEM - Vote Required

## What Is Happening

Board Amendment 04 requests a $15,000 increase to the High School Food Service budget within Fund 491 (Student Nutrition). This is an increase to BOTH revenue and expenditure sides of Fund 491.

### Budget Amendment Details

| Account | Original Budget | Amended Budget | Change |
|---|---|---|---|
| **491-00-5751 Revenue - HS Meals** | $354,000 | $369,000 | +$15,000 |
| **491-35-6341 Food - HS** | -$190,475 | -$205,475 | +$15,000 |

**Current Balance on Food Account:** -$36.96 (essentially zero)

**Reason:** Rising food costs, mid-year vendor price adjustments, and new menu items (ice cream, Frazil beverages)

**Revenue Offset:** Increased revenue from new offerings expected to offset additional costs

## Legal Framework

**TEC 44.006 (Budget Amendments):** Specifically authorizes the board to amend the budget at any time during the fiscal year when 'necessary unforeseen expenses' arise. A budget amendment that increases total expenditures beyond the originally adopted amount MUST be approved by board action in an open meeting. This is the correct procedural vehicle - the CFO cannot unilaterally increase fund totals.

**TEC 44.002-44.004 (Budget Framework):** Section 44.002 requires the superintendent to prepare a budget covering all estimated revenue and proposed expenditures. Section 44.004 requires public notice and hearing for the ORIGINAL budget adoption. However, mid-year amendments under 44.006 do not require a separate public hearing - only board approval at a properly noticed meeting.

**Note from CFO:** The board adopts 3 major funds: 199 (M&O), 513 (Debt Service), and 240/491 (Student Nutrition). Since this increases the total adopted budget for Fund 491, it cannot be handled as an administrative transfer and requires formal board action under TEC 44.006.

## Governance Questions

57. *The food account balance is -$36.96, meaning the account is essentially depleted. Why wasn't this amendment brought sooner?*
58. *The email from Heather Morris cites 'unanticipated increases in food costs' and 'mid-year price adjustments from catering vendors.' Were these price adjustments within the terms of existing vendor contracts?*
59. *Revenue is expected to offset the expenditure increase. Is there data showing participation/sales have actually increased with the new menu items?*

60. *Is $15K sufficient to get through the remaining 2.5 months of school, or will another amendment be needed?*

# Item 11: School Bus Purchase - TERP Grant (pp. 137-166)

**From:** Troy Roberts, Assistant Superintendent

**Type:** ACTION ITEM - Vote Required

## What Is Happening

The district is requesting approval to purchase two new 77-passenger propane-fueled school buses, primarily funded by a TCEQ Texas Emissions Reduction Plan (TERP) / Texas Clean School Bus Program (TCSB) grant. The buses replace two of the district's oldest diesel buses.

### Financial Breakdown

| Item | Amount |
|---|---|
| **Bus Price (each)** | $162,538.00 |
| **Total for 2 Buses** | $325,076.00 |
| **TERP Grant Award** | -$205,751.00 |
| **NET COST TO DISTRICT** | **$119,325.00** |

### Bus Specifications

**Vehicle:** 2027 Blue Bird Vision BBCV 3507, 77-passenger capacity

**Fuel Type:** Propane (LPG) - Ford/Roush 6.8L, 320 HP, 460 lb-ft

**Transmission:** Ford 6R140 automatic, 6-speed

**Key Safety:** LED warning lamps, IMMI 3-pt lap/shoulder belts, backup camera, electronic stability control

**Vendor:** Rush Truck Center, Arlington TX (Quote #249896)

**Procurement:** Buy Board Contract 722-23 + $800 co-op fee per bus

**Quote Expiration:** May 1, 2026

**Delivery:** 180-250 days ARO (arrives 2026-27 school year)

### Buses Being Replaced

| Bus ID | Year | Type | Engine Year | Age |
|---|---|---|---|---|
| 2746 | 2001 | School Bus (Type C) | 2000 | 25 years |
| 2027 | 2005 | School Bus (Type C) | 2004 | 21 years |

### TCSB Grant Contract Details

**Contract No.:** 582-26-85344-CB

**Total Contract Not to Exceed:** $205,751.00

**Signed:** Troy Roberts (Brock ISD, 2/2/26) and Josalyn McMillon (TCEQ, 2/3/26)

**Reimbursement Deadline:** April 30, 2028

**Must Take Possession By:** April 30, 2028

**Contract Expiration:** August 31, 2033

**Activity Life:** 5 years / 60 months of required operation

**Old Bus Disposition:** MUST be destroyed per TCEQ requirements (3-inch hole in engine block or complete crushing)

**WATCH:** Blue Bird reserves the right to implement a tariff surcharge on bus sales dependent on tariffs on Mexican, Canadian, and/or Chinese imports. Rush also notes pricing is 'subject to adjustment at any time' for supply chain issues. The quote expires 5/1/2026 - board should act promptly.

**POSITIVE:** Grant covers 63% of total cost. Replacing 21-25 year old diesel buses with propane reduces emissions and maintenance costs. The old buses with 2000-2004 engines are well past recommended replacement age.

## Legal Framework

**TEC 44.031 (Competitive Bidding):** School districts must use competitive methods for purchases valued at $50,000 or more. However, TEC 44.031(a)(5) specifically sets a LOWER threshold of $20,000 for school bus purchases (most favorable bid). The Buy Board cooperative purchasing program (Contract 722-23) satisfies TEC 44.031(a)(4) as an approved interlocal cooperative, exempting the district from the individual bid requirement. The $800/unit co-op fee is standard.

**TEC 44.031(j) (Best Value):** When using competitive methods, school districts must consider not only price but also long-term cost to the district, including life-cycle costs, total cost of ownership, and the quality and reliability of goods. Propane buses generally offer lower fuel and maintenance costs than diesel.

**Texas Health & Safety Code Ch. 390 (TERP/TCSB):** Authorizes TCEQ to administer the Texas Clean School Bus Program under the broader Texas Emissions Reduction Plan. Grants reimburse school districts for replacing pre-2007 diesel school buses with cleaner alternatives. The program imposes specific contractual obligations including a 5-year activity life, bus destruction requirements, and annual reporting.

**TCSB Contract Requirements:** District must operate replacement buses on regular daily routes for 5 years (60 months), maintain comprehensive insurance, submit annual usage/mileage reports to TCEQ, and destroy old equipment per TCEQ specifications (3-inch hole in engine block or complete crushing). Failure to comply may require FULL return of grant funds ($205,751). The contract expiration extends to 8/31/2033 for compliance monitoring.

## Governance Questions

61. *The quote expires May 1, 2026, and delivery is 180-250 days. If we approve tonight, what is the realistic delivery date?*
62. *The tariff surcharge language is concerning. Has Rush provided any estimate of potential tariff impact? Could the price increase beyond the TERP grant + $119K?*
63. *The TCSB contract requires 5 years of operation. What are the annual reporting requirements and who is responsible for compliance?*
64. *The old buses must be destroyed. Is there any salvage value being lost, or is this purely an emissions compliance requirement?*

65. *Is the $119K district cost budgeted for 2026-27, or does it need a separate budget amendment?*
66. *The grant contract was signed 2/2/26 by Troy Roberts. Was this within his delegated authority, or did it need prior board approval?*

## Meeting Preparation Checklist

Use this checklist to prepare for effective participation in tonight's meeting:

**1. Bond Refunding (HIGH priority):** Understand that this is restructuring at a cost, not savings. Press Samco on the hold harmless costs and what happens if taxable value growth slows.

**2. Budget Workshop (HIGH priority):** Focus on the implications of flat enrollment, decelerating tax base growth, and $1.18M in restricted salary commitments. Ask about fund balance trajectory.

**3. Balanced Scorecard (MEDIUM priority):** BHS Algebra I Predicted Growth dropped 81→62 vs the 85 annual goal - the single biggest pacing miss. Demand a specific 6-week intervention plan before STAAR. Ask Mr. Sams to articulate what BJH 8th grade is doing that hit the 90 goal at MOY so it can be replicated.

**4. Bus Purchase (LOW risk, time-sensitive):** Good use of grant dollars. Watch the tariff language. Quote expires 5/1.

**5. Teacher Contracts (LOW risk):** Routine for 3 probationary teachers. Confirm what subjects they teach relative to scorecard concerns.

**6. TIA (LOW risk):** Pass-through only, but consider whether this should be pulled from consent for first-time discussion.

**7. Fund 491 Amendment (LOW risk):** Straightforward $15K increase. Ask if this is sufficient to finish the year.

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*Remember: Under TOMA, all votes must occur in open session. Confirm closed session is properly posted and recorded.*